VA Servicing Purchase – Bankruptcy Testing Template

December 2024 | Monthly operational risk testing | Bankruptcy-flagged accounts

SOURCE-VALIDATION DRAFT — NOT READY FOR OPERATIONAL USE
The linked handbook was unavailable for verification in this environment. The two question/exception pairs below are drafting frameworks, not verified interpretations of the cited paragraphs. Before use, validate the exact obligations and timing against the handbook version effective in December 2024. No approval, discharge, dismissal, or other substantive bankruptcy condition has been assumed.

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1 | Paragraph 9.07(a)(2)(a)

Test question. For the sampled bankruptcy-flagged mortgage account, did the servicer's VASP evaluation satisfy every applicable requirement of paragraph 9.07(a)(2)(a), as demonstrated by the bankruptcy records and contemporaneous servicing records? **Citation:** VA Servicer Handbook M26-4, Chapter 9, ¶ 9.07(a)(2)(a).

Corresponding exception statement. For account [loan identifier], the servicer failed to [insert the precise obligation established by paragraph 9.07(a)(2)(a)] when it [describe the noncompliant action or omission and date]. The records show [specific facts establishing the failure, including the relevant bankruptcy status and required timing, if applicable]. Accordingly, the servicer did not comply with VA Servicer Handbook M26-4, Chapter 9, paragraph 9.07(a)(2)(a).

2 | Paragraph 9.08(c)(3)

Test question. For the sampled bankruptcy-flagged mortgage account, did the servicer complete each action required by paragraph 9.08(c)(3) in the manner and at the point in the VASP process specified by that paragraph, as supported by dated bankruptcy and servicing records? **Citation:** VA Servicer Handbook M26-4, Chapter 9, ¶ 9.08(c)(3).

Corresponding exception statement. For account [loan identifier], the servicer failed to [insert the precise action required by paragraph 9.08(c)(3)] at [the required point in the process]. Specifically, [describe the action taken or omitted, the date, and the supporting facts demonstrating noncompliance]. This failure was inconsistent with the servicer's obligation under VA Servicer Handbook M26-4, Chapter 9, paragraph 9.08(c)(3).

Reporting instruction: Replace all bracketed fields with established facts and the verified paragraph-specific obligation before reporting an exception. A bankruptcy flag alone is not a finding of noncompliance.

Reference supplied for validation: VA Servicer Handbook M26-4, Chapter 9.
https://benefits.va.gov/WARMS/docs/admin26/m26_04/m26-4-chapter9-va-purchase.pdf